

highest investment rating on many other aspects of their business are also the ones producing so many of the industry's most attractive growth products. Such an investor is confusing cause and effect to about the same degree as the unsophisticated young lady who returned from her first trip to Europe and told her friends what a nice coincidence it was that wide rivers often happened to flow right through the heart of so many of the large cities. Studies of the history of corporations such as Du Pont or Dow or Union Carbide show how clearly this type of company falls into the "fortunate because they are able" group so far as their sales curve is concerned.

Possibly one of the most striking examples of these "fortunate because they are able" companies is General American Transportation. A little over fifty years ago when the company was formed, the railroad equipment industry appeared a good one with ample growth prospects. In recent years few industries would appear to offer less rewarding prospects for continued growth. Yet when the altered outlook for the railroads began to make the prospects for the freight car builders increasingly less appealing, brilliant ingenuity and resourcefulness kept this company's income on a steady uptrend. Not satisfied with this, the management started taking advantage of some of the skills and knowledge learned in its basic business to go into other unrelated lines affording still further growth possibilities.

A company which appears to have sharply increasing sales for some years ahead may prove to be a bonanza for the investor regardless of whether such a company more closely resembles the "fortunate and able" or the "fortunate because it is able" type. Nevertheless, examples such as General American Transportation make one thing clear. In either case the investor must be alert as to whether the management is and continues to be of the highest order of ability; without this, the sales growth will not continue.

Correctly judging the long-range sales curve of a company is of extreme importance to the investor. Superficial judgment can lead to wrong conclusions. For example, I have already mentioned radio-television stocks as an instance where instead of continued long-range growth there was one major spurt as the homes of the nation acquired television sets. Nevertheless, in recent years certain of these radio-television companies have shown a new trend. They have used their electronic skills to build up sizable businesses in other electronic fields such as communication and automation equipment. These industrial and, in some cases, military electronic lines give promise of